TENTATIVE RULINGS

DEPT CX102

Judge Layne H. Melzer

Court Reporters: Official court reporters (i.e., court reporters employed by the Court) are **NOT** typically provided for law and motion matters in this department. If a party desires a record of a law and motion proceeding, it will be the party's responsibility to provide a court reporter. Parties must comply with the court's policy on the use of privately retained court reporters which can be found on the court's website at Court Reporter Services | Superior Court of California | County of Orange.

Tentative rulings: The court endeavors to post tentative rulings on the court's website in the morning, prior to the afternoon hearing. However, ongoing proceedings such as jury trials may prevent posting by that time. Tentative rulings may not be posted in every case. Please do not call the department for tentative rulings if tentative rulings have not been posted. The court will not entertain a request to continue a hearing or the filing of further documents once a tentative ruling has been posted.

Submitting on tentative rulings: If all counsel intend to submit on the tentative ruling and do not desire oral argument, please advise the Courtroom Clerk or Courtroom Attendant by calling (657) 622-5302. Please do not call the department unless all parties submit on the tentative ruling. If all sides submit on the tentative ruling and so advise the court, the tentative ruling shall become the court's final ruling and the prevailing party shall give notice of the ruling and prepare an order for the court's signature if appropriate under Cal. R. Ct. 3.1312.

Non-appearances: If nobody appears for the hearing and the court has not been notified that all parties submit on the tentative ruling, the court shall determine whether the matter is taken off calendar or the tentative ruling becomes the final ruling. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

APPEARANCES: Department CX102 conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference pursuant to CCP §367.75, California Rule of Court (CRC) 3.672 and Orange County Local Rule (OCLR) 375. All counsel and self-represented parties appearing for such hearings must check-in online through the Court's civil video appearance website at Civil Remote Hearings | Superior Court of California | County of Orange prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Participants will initially be directed to a virtual waiting room pending the start of their specific video hearing. Check-in instructions and instructional video are available on the website. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" ("Appearance Procedures") and "Guidelines for Remote Appearances" ("Guidelines") contained on the Court's website will be strictly enforced. Parties preferring to appear in-person for law and motion hearings may do so pursuant to CCP §367.75 and OCLR 375.

PUBLIC ACCESS: The courtroom remains open for all evidentiary and non-evidentiary proceedings.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

TENTATIVE RULINGS
8/13/2026
02:00 PM

100	**Maul vs. THE ILLUMINATION FOUNDATION, a California corporation;** **2022-01241473**	**Final Accounting** The settlement administrator, Simpluris, Inc., has confirmed that the distribution of the settlement funds has been completed and made in accordance with the terms of the settlement that were approved by the Court. As Plaintiffs have shown that the administrator's work is complete, the Court's file may now be closed. Plaintiffs are ordered to give notice of this ruling to Defendant.
101	**Zepeda vs. Broker Soultions, Inc.** **2019-01051868**	**Final Accounting** The court finds all settlement distribution efforts are fully concluded. The administrator's final report (ROA 353) is thus approved, and the court's file will be closed. Plaintiff to give notice of the court's ruling, including to the LWDA, within five (5) calendar days, and file proof of service. Plaintiff to also file proof of service of ROA 353 on the LWDA.
102	**Kitts vs. Toyo Suisan Kaisha, LTD** **2026-01567402**	**Motion to Appear Pro Hac Vice** Plaintiff Tenisha Johnson individually and as Guardian ad litem on behalf of M.T., a minor's application for pro hac vice admission of attorney Joshua R. Harris is **CONDITIONALLY GRANTED** upon counsel's submission, within 3 court days of this ruling, of a declaration attesting that the applicable fees have been paid to the State Bar of California pursuant to Rules of Court, rule 9.40(e). On or before the anniversary of the date of this order, if this attorney remains counsel for the moving party, the moving party must pay an annual renewal fee of five hundred dollars ($500) for each year that the attorney maintains pro hac vice status in this case. (Gov. Code, § 70617, subd. (e)(2).) Moving party shall provide notice.

103	**Seldon vs. Toyo Suisan Kaisha, LTD.** **2026-01561704**	**Motion to Appear Pro Hac Vice** The application for pro hac vice admission of attorney Joshua R. Harris, filed by Plaintiffs (1) Deelacee Seldon individually and as Guardian ad litem on behalf of C.P., a minor; (2) Destiny Sewell individually and as Guardian ad litem on behalf of A.P., a minor; (3) Shannon Pinkard individually and as Guardian ad litem on behalf of I.D., a minor; and (4) Jameiqua Mitchell individually and as Guardian ad litem on behalf of J.M. , a minor, is **CONDITIONALLY GRANTED** upon counsel's submission, within 3 court days of this ruling, of a declaration attesting that the applicable fees have been paid to the State Bar of California pursuant to Rules of Court, rule 9.40(e). On or before the anniversary of the date of this order, if this attorney remains counsel for the moving parties, the moving parties must pay an annual renewal fee of five hundred dollars ($500) for each year that the attorney maintains pro hac vice status in this case. (Gov. Code, § 70617, subd. (e)(2).) Moving party shall provide notice.
104	**Amy Lee Thissell vs. Tenet Healthcare Corporation** **2024-01383912**	**1. Motion to Compel Arbitration** **2. Case Management Conference** Defendants Tenet Healthcare Corporation and Tenet Physician Resources LLC's Motion to Compel Arbitration and Stay Action is **GRANTED**. Defendants' evidentiary objections (ROA #125) are **OVERRULED** in its entirety. As an initial matter, Plaintiff Amy Lee Thissell does not dispute that the subject arbitration agreement is governed by the Federal Arbitration Act (FAA); that she has refused arbitration; that the arbitration agreement exists; and that the arbitration agreement applies to her individual claims alleged in this action. Plaintiff also does not contend that, if the Court orders Plaintiff to arbitrate her individual claims, that her class claims should not be dismissed. Plaintiff opposes the motion on three basic grounds: (1) Defendants have waived their right to enforce the arbitration agreement; (2) the agreement is unconscionable; and (3) even if the Court were to enforce the agreement, Plaintiff's PAGA claim cannot be split into individual and representative claims, and in any event, the representative PAGA claim should not be stayed pending arbitration of Plaintiff's individual PAGA claim. **Waiver by Defendants** Plaintiff's argument that Defendants have waived their right to compel arbitration is not well taken.

		"To establish waiver under generally applicable contract law [which is applicable to arbitration agreements], the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it." (*Quach v. Cal. Commerce Club, Inc.* (2024) 16 Cal.5th 562, 584.) "Under the clear and convincing standard, the proponent of a fact must show that it is 'highly probable' the fact is true." (*Id.*) The waiving party's "intentional relinquishment or abandonment of the right may be proved by evidence of words expressing an intent to relinquish the right or of conduct that is so inconsistent with an intent to enforce the contractual right as to lead a reasonable factfinder to conclude that the party had abandoned it." (*Id.*) A review of the record indicates that although Defendants did not file the instant motion until 5/6/2026 even though the action was commenced on 3/6/2024, much of this delay was the result of Plaintiff not being able to serve one of the two defendants she had initially named in her complaint and the parties meeting and conferring to identify the correct entity that employed Plaintiff so that Plaintiff could dismiss the incorrect entity and name the correct entity. As Plaintiff acknowledges, Defendant Tenet Healthcare Corporation has always asserted that Plaintiff's individual claims in this action are subject to arbitration, alleging such in its answer filed on 4/4/2025 as well as in the parties' status conference statements filed since then. Plaintiff could not serve the other defendant initially named in Plaintiff's complaint, i.e., Tenet Practice Resources LLC. After the Court set multiple Orders to Show Case re: Plaintiff's failure to engage all defendants and ordered Plaintiff's counsel to name and serve the correct defendant, Plaintiff eventually filed a Doe Amendment to name Defendant Tenet Physician Resources, LLC on 1/9/2026 and dismissed Defendant Tenet Practice Resources LLC on 2/11/2026. On 4/3/2026, Defendant Tenet Physician Resources, LLC finally appeared in this action by filing its answer, which also asserts that Plaintiff's individual claims in this action are subject to arbitration. Both named Defendants then jointly filed the instant motion on 5/6/2026, contending that Defendant Tenet Healthcare Corporation did not employ Plaintiff, that Plaintiff was employed by Defendant Tenet Physician Resources, LLC, and that there is a valid arbitration agreement between Defendant Tenet Physician Resources, LLC and Plaintiff. In the meantime, Defendants apparently also initiated an arbitration proceeding against Plaintiff with the AAA on or about 3/3/2026. In short, Defendants' conduct is the opposite of intentionally relinquishing or abandoning their rights to arbitration. Any delay in Defendants moving to compel arbitration in this action resulted from Plaintiff's naming of the wrong employer-defendant in her initial complaint.

		Delegation Clause As noted above, Plaintiff's opposition does not challenge that the subject arbitration agreement exists. Instead, Plaintiff contends that the agreement is unenforceable because it is unconscionable. In reply, Defendants contend that the Court may not decide Plaintiff's unconscionability challenges because the parties' arbitration agreement delegates this issue to the arbitrator to decide. Here, the arbitration agreement does not contain an express delegation clause. Therefore, Defendants rely on the arbitration agreement's statement that "[t]he applicable Employment Arbitration Rules of the AAA will govern the procedures to be used in such arbitrations, unless the parties have agreed otherwise." (ROA #104, Exh. 2 [Agreement] at ¶ 5.a..) According to the applicable AAA rules, "[t]he arbitrator shall have the power to rule on their own jurisdiction, including any objections with respect to the existence, scope, or validity of the arbitration agreement or the arbitrability of any claim or counterclaim." (ROA #104, Exh. 3 at R-7(a).) "Parties to an arbitration agreement may agree to delegate to the arbitrator, instead of a court, questions regarding the enforceability of the agreement." (*Tiri v. Lucky Chances, Inc.* (2014) 226 Cal.App.4th 231, 241.) Thus, "delegation clauses are essentially severable mini-agreements within agreements to arbitrate." (*Holley-Gallegly v. TA Operating, LLC* (2023) 74 F.4th 997, 1001, citing *Rent-A-Center, West, Inc. v. Jackson* (2010) 561 U.S. 63, 70-73.) Thus, "the court must decide the validity of the delegation clause before considering the validity of the rest of the arbitration agreement." (*Tiri*, *supra*, 226 Cal.App.4th at p. 241, fn. 3.) "There are two prerequisites for a delegation clause to be effective. First, the language of the clause must be clear and unmistakable. Second, the delegation must not be revocable under state contract defenses such as fraud, duress, or unconscionability." (*Id.*, citing *Rent-A-Center*, *supra*, 561 U.S. at 68-69, 70, fn. 1.) Our reviewing court, the Court of Appeal for the Fourth District, Division 3, has explicitly rejected the argument that "incorporating the AAA employment dispute arbitration rules into the arbitration agreement [i]s sufficient to demonstrate a clear and unmistakable intent that the arbitrator would decide arbitrability" in the employment context. (*Beco v. Fast Auto Loans, Inc.* (2022) 86 Cal.App.5th 292, 305.) The court held that "incorporation by reference does not meet the clear and unmistakable test" for the same reasons stated by the court in *Ajamian v. CantorCO2e, L.P.* (2012) 203 Cal.App.4th 771, 790: > In our view, while the incorporation of AAA rules into an agreement might be sufficient indication of the parties' intent in other contexts, we seriously question how it provides *clear* and *unmistakable* evidence that an employer and an employee intended to submit the issue of the unconscionability of the arbitration provision to the arbitrator, as opposed to the court. There are many reasons for stating that the arbitration will proceed

		by particular rules, and doing so does not indicate that the parties' motivation was to announce who would decide threshold issues of enforceability. Moreover, the reference to AAA rules does not give an employee, confronted with an agreement she is asked to sign in order to obtain or keep employment, much of a clue that she is giving up her usual right to have the court decide whether the arbitration provision is enforceable. Assuming that an employee reads the arbitration provision in the proposed agreement, notes that disputes will be resolved by arbitration according to AAA rules, and even has the wherewithal and diligence to track down those rules, examine them, and focus on the particular rule to which appellants now point, the rule merely states that the arbitrator shall have 'the power' to determine issues of its own jurisdiction, including the existence, scope and validity of the arbitration agreement. This tells the reader almost nothing, since a court *also* has power to decide such issues, and nothing in the AAA rules states that the AAA arbitrator, as opposed to the court, *shall* determine those threshold issues, or has *exclusive* authority to do so, particularly if litigation has already been commenced. (*Beco*, *supra*, at p. 305, quoting *Ajamian*, *supra*, at p. 790, italics original to *Ajamian*; see also *Jack v. Ring LLC* (2023) 91 Cal.App.5th 1186, 1201 [also following *Ajamian* and *Beco*, among other cases, to hold that "mere reference to JAMS Rules in the arbitration provision does not constitute clear and unmistakable delegation to the arbitrator of threshold issues of enforceability].) Therefore, the Court concludes that the parties here did not clearly and unmistakably delegate issues of enforceability of the agreement—including whether the agreement is unconscionable—to the arbitrator to decide. **Unconscionability** Unconscionability has both a procedural and a substantive element: The procedural element focuses on the existence of "oppression or surprise due to unequal bargaining power," and the substantive element focuses on "overly harsh or one-sided results." (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114, internal quotes omitted.) For unconscionability to render an agreement or clause unenforceable, both procedural and substantive unconscionability must be present—but "they need not be present in the same degree." (*Id.*) A "sliding scale" applies such that "the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Id.*) The party opposing arbitration bears the burden of proving an unconscionability defense. (*Prima Donna Development Corp. v. Wells Fargo Bank, N.A.* (2019) 42 Cal.App.5th 22, 42.)

Procedural Unconscionability

"Procedural unconscionability concerns the manner in which the contract was negotiated and the circumstances of the parties at that time. It focuses on the factors of oppression and surprise." (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal.App.4th 1322, 1329, internal quotes & citations omitted.)

Here, Plaintiff raises only arguments relating to oppression, not surprise, as Plaintiff contends only that the agreement is an adhesive contract because Plaintiff was required to sign the arbitration agreement, was not given an opportunity to negotiate its terms, and no one explained to her the contents of the documents she was signing.

"The oppression component arises from an inequality of bargaining power of the parties to the contract and an absence of real negotiation or a meaningful choice on the part of the weaker party." (*Id.*) Where an arbitration agreement is "imposed on employees as a condition of employment and there was no opportunity to negotiate," there is "little dispute" that the arbitration agreement is "adhesive." (*Armendariz*, *supra*, 24 Cal.4th at pp. 114-115; *see also id.* at p. 113 [defining "contract of adhesion" as "a standardized contract, which[is] imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it"].)

However, "the adhesive nature of a contract is one factor the courts may consider in determining the degree of procedural unconscionability." (*Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 84, fn. 4.) Moreover, the "adhesive aspect of an agreement is not dispositive," as overall enforceability still depends on the "sliding scale" analysis of procedural and substantive unconscionability. (*Serpa v. Cal. Surety Investigations, Inc.* (2013) 215 Cal.App.4th 695, 704; see also *Graham v. Scissor-Tail, Inc.* (1981) 28 Cal.3d 807, 817 [contracts of adhesion are "an inevitable fact of life for all citizens"].)

Here, Plaintiff has shown a minimal degree of procedural unconscionability due to the adhesive nature of the agreement.

Substantive Unconscionability

"Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided." (*Hayden v. Elegance at Dublin* (2023) 97 Cal.App.5th 1280, 1287, internal quotes omitted.) "[T]he central idea [is] that unconscionability doctrine is concerned not with a simple old-fashioned bad bargain, but with terms that are unreasonably favorable to the more powerful party." (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 910-911, internal quotes & citations omitted [also confirming that "overly harsh," "unduly oppressive," "so one-sided as to shock the conscience," and "unfairly one sided" all point to this same "central idea"].) Unconscionable terms include those that "contravene the public interest or

		public policy” or “terms . . . that attempt to alter in an impermissible manner fundamental duties otherwise imposed by the law.” (*Id.* at p. 911.) “The paramount consideration in assessing conscionability is mutuality.” (*Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482, 492, internal quotes, brackets, & ellipses omitted.) But “a contract can provide a margin of safety that provides the party with superior bargaining strength a type of extra protection for which it has a legitimate commercial need without being unconscionable.” (*Sanchez*, *supra*, 61 Cal.4th at p. 912, internal quotes omitted, quoting *Armendariz*, *supra*, 24 Cal.4th at p. 117.) “[W]here no meaningful choice was exercised upon entering the contract, the test is whether the terms are so extreme as to appear unconscionable according to the mores and business practices of the time and place.” (*Id.*, internal quotes omitted.) Here, Plaintiff contends that the agreement is substantively unconscionable based on two provisions: (1) confidentiality and (2) PAGA waiver. On confidentiality, the parties’ agreement states: > Confidentiality: All statements and information made or revealed during the [Fair Treatment Process or “FTP,” which includes arbitration] are confidential, and neither the employee nor the Company may reveal any such statements or information, including on a “need to know” basis or a[s] permitted or required by law. (Agreement, ¶ 5.f.) Plaintiff contends that this confidentiality provision is as broad and sweeping as the confidential provisions found unconscionable in *Haydon v. Elegance at Dublin* (2023) 97 Cal.App.5th 1280 and *Ramos v. Super. Ct.* (2018) 28 Cal.App.5th 1042. But that is incorrect. In *Haydon*, the confidentiality provision barred the parties from “disclosing the existence, content, or results of the arbitration.” (*Haydon*, *supra*, at p. 1290.) The court in *Haydon* likened that provision to the one in *Ramos* (*id.*), which provided that “[e]xcept to the extent necessary to enter judgment on any arbitral award, all aspects of the arbitration shall be maintained by the parties and the arbitrators in strict confidence” (*Ramos*, *supra*, at p. 1065.) Both the *Haydon* and *Ramos* courts found that the broad confidentiality provisions in those cases were unconscionable because they would restrict plaintiff’s ability to gather information to present her case. (*Haydon*, *supra*, at p. 1290, internal quotes & brackets omitted [“such a clause would restrict the plaintiff from gathering information informally, increasing his or her costs unnecessarily and defeating the purpose of using arbitration as a simpler, more time-effective forum for resolving disputes”]; *Ramos*, *supra*, at p. 1065 [“It is hard to see how [plaintiff[could engage in informal discovery or contact witnesses without violating the prohibition against revealing an ‘aspect of the arbitration’”].)

In contrast, here, the confidentiality provision explicitly permits revealing statements and information made or revealed during the FTP process, including arbitration, on a "need to know" basis or as permitted or required by law. Such a provision would permit Plaintiff to engage in informal discovery and to contact witnesses to assist her with presenting her case. It would also permit Plaintiff to speak to other potential claimants to assist other potential claimants in pursuing their rights against Defendants.

Therefore, the Court does not find the confidentiality provision in the parties' agreement here to be substantively unconscionable.

As for the PAGA waiver, Plaintiff contends that the agreement contains an impermissible ban on PAGA actions, citing *Navas v. Fresh Venture Foods, LLC* (2022) 85 Cal. App. 5th 626, 635.

However, the relevant provision does not include a wholesale ban on PAGA actions. It states: "The employee understands and agrees that *to the extent permitted by law*, his or her claim will not be joined with any claim or dispute of another employee in a class, collective, representative or group action." (Agreement, ¶ 2.b., emphasis added.) As this provision permits only arbitration of individual claims, not representative claims, and it waives class, collective, representative, or group claims only "to the extent permitted by law," this provision is also not substantively unconscionable.

In short, the Court finds that the agreement is not substantively unconscionable.

As Plaintiff has only shown a minimal degree of procedural unconscionability and no substantive unconscionability, the Court finds that the agreement is enforceable.

Stay of Representative PAGA Claim

Finally, Plaintiff objects to Defendants' request to compel arbitration of her individual PAGA claim and stay her representative PAGA claim because Plaintiff contends that the agreement does not permit splitting of Plaintiff's PAGA claim into individual versus representative. Plaintiff contends that because the parties entered into their arbitration agreement in 2014 and reaffirmed it in 2019—i.e., years before *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639 was decided—the parties could not have contemplated that the agreement would split a PAGA claim into individual versus representative such that the Court must compel Plaintiff's individual PAGA claim to arbitration while staying the representative PAGA claim in court.

Plaintiff relies on *LaCour v. Marshalls of CA, LLC* (2025) 117 Cal.App.5th 505. In *LaCour*, the court interpreted the following language in an arbitration agreement that the parties executed in March 2014:

> Among the provisions in the Arbitration Agreement is paragraph 5, a "Class Action, Collective Action, and Private Attorney General

		Waiver," which states in pertinent part: "[LaCour and Marshalls] agree to bring any dispute in arbitration on an individual basis only and not on a class, collective, or private attorney general representative action basis. [¶] ... [¶] (c) There will be no right or authority for any dispute to be brought, heard or arbitrated as a private attorney general representative action ('[PAGA Waiver]'). The [PAGA Waiver] shall be severable from this Agreement in any case in which a civil court of competent jurisdiction finds the [PAGA Waiver] is invalid, unenforceable, revocable, unconscionable, void or voidable. In such instances and where the claim is brought as a private attorney general claim, such private attorney general claim must be litigated in a civil court of competent jurisdiction." A concluding proviso to this provision, set off as an additional subparagraph applicable to the entire paragraph and all subparagraphs, states, "The ... [PAGA Waiver] shall be severable in any case in which the dispute is filed as an individual action and severance is necessary to ensure that the individual action proceeds in arbitration." (*LaCour*, *supra*, 117 Cal.App.5th at p. 508.) The court held that because the severability clause stated that, when it is applied to sever the PAGA waiver, "such private attorney general claim must be litigated in a civil court," the provision states exactly what it means and cannot be interpreted to incorporate *Viking River Cruises*' later distinction between individual and non-individual PAGA claims such that only plaintiff's non-individual claims must be litigated in court while plaintiff's individual claims must be arbitrated. (*Id.* at pp. 521-522.) The *LaCour* court held that for it to interpret the agreement to require arbitration of plaintiff's individual PAGA claim while litigating in court plaintiff's non-individual PAGA claim, "the words in Paragraph 5(c) would have to read, '[i]n such instances, and where the claim is brought as a *non-individual* private attorney general claim, such private attorney general claim must be litigated in a civil court of competent jurisdiction'; and the Paragraph 5 proviso to have read, '... severance is necessary to ensure that the individual *PAGA* action proceeds in arbitration.'" (*Id.* at p. 511, italics original.) Here, the relevant language of the parties' arbitration agreement is materially different and contains none of the language analyzed by the court in *LaCour* to determine the parties' intent at the time of formation in that case. First, the PAGA waiver here includes limiting language—i.e., "to the extent permitted by law"—whereas the PAGA waiver in *LaCour* did not. This language indicates intent to follow the law as it develops—including any differentiation between "individual" and "non-individual" PAGA claims. Second, there is no severance provision here that states that "private attorney general claim[s] must be litigated in a civil court." Therefore, the intent of the parties appears to require Plaintiff to arbitrate all employment-related claims, while enforcing the PAGA waiver to the extent permitted by law—which, under *Viking Rivers*, means that while the PAGA waiver cannot be enforced as a wholesale waiver, the Court must enforce the parties' agreement to arbitrate all claims relating to

		Plaintiff's employment, including Plaintiff's individual PAGA claim. Therefore, *LaCour* also does not help Plaintiff. Plaintiff also contends that the Court should not stay the PAGA claim because a stay would harm Plaintiff's ability to investigate the merits of the State's claim. However, Code of Civil Procedure (CCP) section 1281.4 provides, in relevant part, that "[i]f a court of competent jurisdiction . . . has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies." Plaintiff cites no authorities that the Court can ignore the mandates of CCP section 1281.4. Accordingly, Plaintiff is **ORDERED t**o arbitrate her individual claims against Defendants, including her individual PAGA claim. The Court notes that Plaintiff previously requested that the Court "dismiss the class allegations from cause of action 1 through 13 in this Action without prejudice" "[p]ursuant to an arbitration agreement between the Parties that contains a class action waiver." (ROA #102, ¶ 9.) The Court grants Plaintiff's request and orders that such class allegations against Defendants are hereby **DISMISSED WITHOUT PREJUDICE.** This action, including Plaintiff's representative PAGA claim, is **STAYED** until the arbitration is had pursuant to CCP section 1281.4. **An ADR review hearing is scheduled for June 3, 2027 at 9:30AM in Department CX102**. The parties shall submit a joint status report 10 days in advance of the hearing. Defendants shall give notice.
105	**Carrasco vs. Disney Destinations, LLC** **2025-01534410**	**1. Motion to Compel Arbitration** **2. Case Management Conference** Defendants Disney Destinations, LLC; The Walt Disney Company; and Walt Disney Parks and Resorts U.S., Inc.'s Motion to Compel Arbitration and Stay the Proceedings is **GRANTED**. Plaintiffs Rocio Carrasco and Anahi Carrasco's request for judicial notice is **DENIED** as unnecessary. A citation to the complaint is sufficient. Plaintiffs' evidentiary objections (ROA #93) to the declaration of Beth Fiske (ROA #54) is **OVERRULED** in its entirety. Plaintiffs' evidentiary objections (ROA #109) to the supplemental declaration of Fiske (ROA #107) is also **OVERRULED** in its entirety.

Existence of Arbitration Agreement

Both the Federal Arbitration Act ("FAA") and the California Arbitration Act ("CAA") require the existence of a valid arbitration agreement before arbitration can be compelled. (See 9 U.S.C. § 2; Code Civ. Proc. [CCP], § 1281.2.) A trial court must order arbitration if it determines that an agreement to arbitrate the controversy exists. (CCP, § 1281.2.)

The petitioner bears the initial burden of producing prima facie evidence of a written agreement to arbitrate the controversy, which can be satisfied either by setting forth the agreement's provisions in the motion or by attaching to the motion a copy of the arbitration agreement purporting to bear the opposing party's signature; ***"[f]or this step, it is not necessary to follow normal procedures of document authentication***." (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165, internal quotes omitted, emphasis added; see also Cal. Rules of Court [CRC], rule 3.1330 [requiring same].)

The burden then shifts to the opposing party to produce evidence to challenge the authenticity of the agreement. (*Gamboa*, *supra*, 72 Cal.App.5th at p. 165.) "If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties." (*Id.* at pp. 166-167.) ***As part of this third step, the moving party may file supplemental evidence upon a challenge by the opposing party as to the existence of the agreement, and it is timely to do so on reply.*** (*Espejo v. Southern Cal. Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1056-1060 ["Because defendants were not required to establish the authenticity of [plaintiff's] signature on the [agreement] until challenged by [plaintiff] in his opposition, they were not required to file the supplemental declaration pursuant to the deadline set by section 1005, subdivision 9b) for a party's moving papers"].)

The petitioner must satisfy their burden "by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination." (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 842, internal citations omitted.)

Here, Defendants satisfied their initial burden of producing prima facie evidence of the alleged arbitration agreement. Defendants submitted the declaration of their employee Fiske, who has been employed with Disney since 2014, and who attested that she has "personal knowledge of the process that guests must complete and the agreements they enter into in order to renew a Magic Key Pass." (ROA #54 [Fiske Decl.], ¶ 5; see also *Forest Lawn Memorial-Park Assn. v. Super. Ct.* (2021) 70 Cal.App.5th 1, 11 ["We stress that the required foundation for personal knowledge is not high. It is well below what is necessary for a determination by the court that a statement is credible."]; *Taylor v. Financial Casualty & Surety, Inc.*

(2021) 67 Cal.App.5th 966, 983 [declarant's background and experience sufficient to establish personal knowledge].) Fiske explained that at the time Plaintiffs purchased a Magic Key Pass renewal in December 2022, all guests—including Plaintiffs—were required to do so online by logging into their MyDisney account and clicking through various screens. (*Id.* at ¶¶ 6-10.) Attached to Fiske's declaration were examples of the screens guests would have encountered, including a partial portion of the relevant Magic Key Terms and Conditions that includes the alleged arbitration agreement. (*Id.* at Exhs. A-B.) Defendant's moving memorandum of points and authorities also cited to Exhibit E of Plaintiffs' own complaint for a full copy of the Magic Key Terms and Conditions, including the alleged arbitration agreement. (ROA #56 [Mot. P&A], pp. 9-11; see also *Parker v. Twentieth Century-Fox Film Corp.* (1970) 3 Cal.3d 176, 181 [even on summary judgment, "a party can rely on his adversary's pleadings to establish facts not contained in his own affidavits"].)

The burden thus shifted to Plaintiffs to challenge the authenticity of the agreement. Plaintiffs did not satisfy their burden. Plaintiffs' own declarations admitted that they purchased their renewals "through the Disneyland website," and "[d]uring the checkout process, [they] recall [they were] required to check a few boxes." (ROA #89 [R. Carrasco Decl.], ¶¶ 2, 4; ROA #91 [A. Carrasco Decl.], ¶¶ 2, 4.) These attestations corroborate Defendants' evidence. Plaintiffs do not deny having to scroll through the scroll box containing the Magic Key Terms and Conditions to reach the check box that reads: "I have read and agree to the Disneyland Resort Magic Key Terms and Conditions, including the Magic Key Binding Arbitration Agreement and Class Waiver." (See Fiske Decl., ¶ 10, Exh. B.) Nor do Plaintiffs deny that they checked this box. Thus, the Court finds that Plaintiffs did in fact check the box affirming they read and agreed to the Magic Key Terms and Conditions, including the alleged arbitration agreement.

At most, Plaintiffs claim that they "do not recall seeing anything referencing arbitration." (R. Carrasco Decl., ¶¶ 3-4; A. Carrasco Decl., ¶¶ 3-4.) Plaintiffs' opposition argues that Defendants failed to present the applicable terms and conditions in a clear and conspicuous manner such that "a reasonable offeree would be on inquiry notice of the terms at issue" because of "(1) the location and descriptions of the text directing Plaintiffs and Consumers to the Magic Key T&C, (2) the scattered blue text hyperlinks to multiple different terms or information not related to the Magic Key T&C, and (3) the multiple incorporated terms and conditions that contain contradictory contract terms and conditions." (Opp. at pp. 7-9.)

These arguments fail, however, because ultimately Defendants used a scrollwrap agreement in which "the user is presented with the entire agreement and must physically scroll to the bottom of it to find the 'I agree' or 'I accept' button." (*Sellers v. JustAnswer LLC* (2021) 73 Cal.App.5th 444, 463-464.) Because "[s]crollwrap agreements . . . place the contractual terms directly in front of the user, requiring them to scroll through the terms before checking ab ox or clicking a button to indicate their assent," scrollwrap agreements are "consistently found to be

		enforceable," and "there should be little doubt scrollwrap agreements are enforceable under California law because the consumer is given the contract, a sufficient circumstance to place the consumer on inquiry notice of the contractual terms." (*Id.* at pp. 470.) Here, right above the checkbox for "I have read and agree to the Disneyland Resort Magic Key Terms and Conditions, including the Magic Key Binding Arbitration Agreement and Class Waiver," Defendants provided the entire text of the agreement, which Plaintiffs had to scroll through before seeing and being able to click the checkbox. Under these circumstances, the Court finds unavailing Plaintiffs' contention that "it would be impossible for a reasonable consumer to 'ferret' out what terms they are actually agreeing to even if they did check the 'agree' box." (Opp. at p. 9.) Moreover, even within the Magic Key Terms and Conditions that renewing guests like Plaintiffs had to scroll through, the arbitration agreement was explicitly called out with bolded capital letters, including a bolded and capitalized heading, followed by an entire initial paragraph of bolded and capitalized text describing the basic terms of the arbitration agreement. (ROA 2 [Compl.], Exh. E; see also ROA #107 [Fiske Supp. Decl.], Exh. C.) The arbitration provision is the only provision within the Magic Key Terms and Conditions that is set out this way. (*Id.*) Additionally, the very first paragraph of the Magic Key Terms and Conditions—also set forth in bolded capitalized letters, plus underlining—calls out the arbitration agreement contained therein. (*Id.*) Even the statement accompanying the "agree" checkbox calls out the arbitration agreement contained in the Magic Key Terms and Conditions. Therefore, the arbitration provision was not inconspicuous. Finally, Plaintiffs contend that the arbitration agreement contained within the Magic Key Terms and Conditions was "superseded" by the Retail Installment Contract ("RIC") that Plaintiffs also entered into with Defendants as part of renewing their Magic Key passes, which provides that "[a]ny dispute or legal action between you and us rising out of or in connection with this Contract shall be commenced and maintained exclusively in the California Superior Court in and for Orange County . . . ." (Opp. at pp. 9-10, quoting Compl., Exhs. A-B.) This argument also lacks merit for several reasons. First, the second paragraph of the Magic Key Terms and Conditions explicitly identifies the RIC as among the "other applicable terms, conditions, or agreements" to which Plaintiffs would be subject by purchasing a renewal pass, and that paragraph also explicitly states: "In the event of any conflict between those other applicable terms and conditions and these Disneyland Resort Magic Key Terms and Conditions (or 'Magic Key Terms and Conditions'), including with respect to the Magic Key Binding Arbitration Agreement and Class Action Waiver below, the Magic Key Terms and Conditions govern." (Compl., Exh. E; Fiske Supp. Decl., Exh. C.)

Second, Plaintiffs rely on the RIC's statement that "[a]ll prior agreements and representations *concerning this subject matter* are superseded" to contend that the RIC nevertheless supersedes the Magic Key Terms and Conditions. (Opp. at p. 9, citing RIC's "Miscellaneous" section, emphasis added.) However, the subject matter of the RIC relates to the payment plan and financing agreement that Plaintiffs entered into with Defendants to fund the purchase of their renewed passes. Here, Plaintiffs are not suing under the RIC because their claims in this case have nothing to do with this payment plan and financing agreement. Therefore, even if the RIC supersedes the Magic Key Terms and Conditions despite the Magic Key Terms and Conditions stating that they govern in the event of a conflict with the RIC, the RIC would only supersede the Magic Key Terms and Conditions as they relate to a payment plan and financing agreement to fund the purchase of the renewed pass.

Therefore, the Court finds that the arbitration agreement set forth in the Magic Key Terms and Conditions exists between the parties.

FAA Governs

Plaintiffs contend that "[w]ithout first establishing a valid contract exists between Plaintiffs and Defendants . . . , Defendants summarily declare the 'FAA governs[']" but "have failed to prove that the FAA is applicable to this transaction." (Opp. at p. 2.) This argument also lacks merit.

As explained above, the Court has found that a valid arbitration agreement does exist between Plaintiffs and Defendants. The agreement itself specifies that "the Federal Arbitration Act, 9 U.S.C. §§ 1-16, governs its interpretation and enforcement." (Compl., Exh. E; Fiske Supp. Decl., Exh. C.) This is a commonly acceptable and enforceable provision in an arbitration agreement. (See *Volt Information Sciences, Inc. v. Bd. of Trustees of Leland Stanford Junior University* (1989) 489 U.S. 468, 479 ["parties are generally free to structure their arbitration agreements as they see fit," including by agreement to arbitration under the FAA]; *Barrera v. Apple v. American Group LLC* (2023) 95 Cal.App.5th 63, 76 ["since arbitration is a matter of contract, the FAA also applies if it is so stated in the agreement"].)

Therefore, the FAA governs the arbitration agreement's interpretation and enforceability.

Delegation Clause

"Parties to an arbitration agreement may agree to delegate to the arbitrator, instead of a court, questions regarding the enforceability of the agreement." (*Tiri v. Lucky Chances, Inc.* (2014) 226 Cal.App.4th 231, 241.) Thus, "delegation clauses are essentially severable mini-agreements within agreements to arbitrate." (*Holley-Gallegly v. TA Operating, LLC* (2023) 74 F.4th 997, 1001, citing *Rent-A-Center, West, Inc. v. Jackson* (2010) 561 U.S. 63, 70-73.) Thus, "the court must decide the validity of the delegation clause before considering the validity of the rest of the arbitration agreement." (*Tiri*, *supra*, 226 Cal.App.4th at p. 241, fn. 3.)

		"There are two prerequisites for a delegation clause to be effective. First, the language of the clause must be clear and unmistakable. Second, the delegation must not be revocable under state contract defenses such as fraud, duress, or unconscionability." (*Id.*, citing *Rent-A-Center*, *supra*, 561 U.S. at 68-69, 70, fn. 1.) Here, the parties' arbitration agreement clearly and unmistakably states: "The arbitrator will have the exclusive authority to resolve any dispute relating to the formation, interpretation, applicability, or enforceability of these terms and conditions including this binding arbitration provision, including the arbitrability of any dispute and any claim that all or any part of this binding arbitration provision is void or voidable." (Compl., Exh. E; Fiske Supp. Decl., Exh. C.) Plaintiffs contend that the parties have not clearly and unmistakably delegated issues of enforceability exclusively to the arbitrator because the "provision [ ]points in two directions on a question whether a court or an arbitrator is to decide enforceability" in that the above-quoted provision is followed by two other provisions that provide exceptions for when parties may go to court. (Opp. at p. 11.) First, immediately after the above-quoted delegation clause is the following sentence: "However, if either party believes that any claim that was filed in arbitration or in court is inconsistent with this agreement's waiver of the right to litigate or arbitrate any claims as a class action or other representative or collective action, then you and Disney agree that either party may seek an order from a court determining whether such a claim is within the scope of that waiver." (Compl., Exh. E; Fiske Supp. Decl., Exh. C.) Second, two paragraphs later, the arbitration agreement states: "You or Disney may assert claims in small claims court instead of in arbitration if the claims qualify." (*Id.*) This argument lacks merit. An arbitration agreement may "expressly carves out . . . classes of claims that remain subject to litigation in court," and "the fact that the [agreement] contemplates that courts may, on occasion, be called upon to construe various provisions of the policy does not undermine the policy's otherwise clear and unmistakable delegation of gateway issues to the arbitrator on claims subject to arbitration." (*B.D. v. Blizzard Entertainment, Inc.* (2022) 76 Cal.App.5th 931, 959.) Moreover, the only case Plaintiffs rely on for their argument is *Jack v. Ring LLC* (2023) 91 Cal.App.5th 1186. However, the facts in *Jack* are distinguishable from the instant case. In *Jack*, the arbitration agreement contained a broad delegation clause similar to the one here, but the *Jack* agreement did not contain any clear or explicit exceptions like the follow-on sentence about courts deciding the scope of class or representative action waivers or the later sentence about courts deciding small claims. (See *id.* at p. 1193.) Instead, in a separate section waiving rights to bring representative actions, the *Jack* arbitration agreement simply stated: "If *a court* decides that applicable law precludes enforcement of any of this subsection's limitations as to a particular claim for relief, then that claim (and only that claim) must be severed from the arbitration and may be brought in court." (*Id.* at p. 1194, emphasis original.) Since the delegation

		clause in *Jack* did not explicitly contain any exceptions, the court found the agreement's sudden, later acknowledgment of the possibility that a court may decide enforceability issues to constitute an inconsistency that rendered the delegation clause not clear or unmistakable. (*Id.* at p. 1199.) Here, in contrast, the delegation clause clearly and unmistakably delegates to the arbitrator all enforceability issues. It also provides that parties may seek an order from a court to determine whether a particular claim falls within the scope of the parties' class and representative action waiver. The agreement further provides that the parties may assert claims in small claims court. Neither of these carve-outs create any ambiguity as to whether the arbitrator would decide enforceability of the parties' agreement. (See *B.D.*, *supra*, at p. 959.) Thus, the Court finds that the delegation clause is clear and unmistakable, and it delegates enforceability issues to the arbitrator. The Court must therefore enforce the delegation clause unless it is revocable under state contract defenses such as fraud, duress, or unconscionability. Here, Plaintiffs' opposition makes no arguments about fraud or duress. But Plaintiffs do contend that the arbitration agreement is unenforceable because it is unconscionable. (Opp. at pp. 12-15.) However, unconscionability challenges to the enforceability of a delegation clause must be directed at the delegation provision specifically, not at the arbitration agreement as a whole. (*Rent-A-Center, West, Inc. v. Jackson* (2010) 561 U.S. 63, 72-75.) While a party may cite provisions outside the delegation clause in making an unconscionability challenge to the delegation clause, the party "must explain how those provisions make *the fact of an arbitrator deciding [enforceability]* unconscionable." (*Holley-Gallegly*, *supra*, 74 F.4th at p. 1002, emphasis original, citing *Rent-A-Center*, *supra*, 561 U.S. at p. 74; see also *Tiri*, *supra*, 226 Cal.App.4th at p. 243, emphasis original ["any claim of unconscionability must be *specific to the delegation clause*"].) Since none of Plaintiffs' arguments about unconscionability is "specific to the delegation provision," the Court "need not consider" these unconscionability challenges. (*Rent-A-Center*, *supra*, 561 U.S. at p. 73.) Instead, such issues go to the enforceability of the arbitration agreement, which is an issue delegated to the arbitrator by the parties' agreement. In sum, the Court finds that (1) an arbitration agreement exists between the parties; (2) the agreement includes a clear, unmistakable, and enforceable delegation clause delegating to the arbitrator "any dispute relating to the formation, interpretation, applicability, or enforceability of these terms and conditions including this binding arbitration provision, including the arbitrability of any dispute and any claim that all or any part of this binding arbitration provision is void or voidable." Accordingly, Plaintiffs are **ORDERED** to arbitrate their individual claims against Defendants in accordance with the parties' arbitration agreement.

		This case is **STAYED** pending completion of the ordered arbitration pursuant to Code of Civil Procedure section 1281.4. **An ADR review hearing is scheduled for June, 3 2027 at 9:30AM in Department CX102**. The parties shall submit a joint status report 10 days in advance of the hearing. Defendants shall give notice of this ruling.
106	**Doe vs. AN SCPB, LLC** **2025-01454918**	**1. Motion to Compel Arbitration** **2. Case Management Conference** Defendants AN SCPB, LLC and Elizabeth An's Motion to Strike Plaintiff's Class Action Allegations, to Compel Arbitration of Plaintiff's PAGA Individual Claim, and Stay the PAGA Representative Action Pending Arbitration is **DENIED**. As an initial matter, the Court notes that Defendants do not move to compel arbitration of any of Plaintiff John Doe's claims alleged in the third amended complaint (TAC) other than his individual PAGA claim in the 17th cause of action. Presumably, Defendants do not move to compel arbitration of the other 16 causes of action in the TAC because Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act ("EFAA") provides, in relevant part, that "at the election of the person alleging conduct constituting a sexual harassment dispute or sexual assault dispute, . . . no predispute arbitration agreement . . . shall be valid or enforceable with respect to a case which is filed under Federal, Tribal, or State law and relates to the sexual assault dispute or the sexual harassment dispute." (9 U.S.C. § 402, subd. (a).) California caselaw is clear that "[t]he statute's plain language makes clear that the exemption applies to the *case*, not individual claims, where a plaintiff alleges conduct constituting sexual harassment or sexual assault," and thus, "it is no surprise that every published California decision to address this issue has concluded that, once properly invoked, the EFAA renders an arbitration agreement unenforceable as to the entire case, not merely the sexual harassment claim." (*Quilala v. Securitas Security Services USA, Inc.* (2025) 17 Cal.App.5th 75, 88-89, citing *Casey v. Super. Ct.* (2025) 108 Cal.App.5th 575, 588, *Liu v. Miniso Depot CA, Inc.* (2024) 105 Cal.App.5th 791, 796; and *Doe v. Second Street Corp.* (2024) 105 Cal.App.5th 552, 577 ["*Second Street*"].) Defendants do not explain why Plaintiff's individual PAGA claim should be treated differently than his other individual claims alleged in the other 16 cause of action—i.e., why Plaintiff's individual PAGA claim is not also part of the same "case" that "relates to . . . the sexual harassment dispute" such that the EFAA applies to render the parties' alleged arbitration agreement and representative action waiver unenforceable. When a

plaintiff's claims "stem from the same employment relationship and his treatment by defendants, his claims 'relates to' his sexual harassment allegations within the meaning of section 402(a) of the EFAA." (*Quilala*, *supra*, 117 Cal.App.5th at p. 90; see also *Johnson v. Everyrealm, Inc.* (2023) 657 F.Supp.3d 535, 562, fn. 23 [nor is this a situation "under which claim(s) far afield might be found to have been improperly joined with a claim within the EFAA so as to enable them to elude a binding arbitration agreement," as "[plaintiff's] claims against [defendant] and its executives all arise from his employment at [defendant] and are clearly properly joined in a common lawsuit"].)

Here, Plaintiff's individual PAGA claim stems or arises from the same employment by Defendants. Therefore, they are no different than his other individual claims alleged in the other 16 causes of action of the TAC, which Defendants appear to concede cannot be arbitrated in light of the EFAA, as Defendants do not move to compel those claims to arbitration. Therefore, the Court **DENIES** Defendants' motion to compel arbitration of Plaintiff's individual PAGA claim in light of the EFAA.

Accordingly, the Court also **DENIES** Defendants' request to stay the remaining action—which includes *all* of Plaintiff's individual claims under all 17 causes of action alleged in the TAC—pending arbitration as there is no pending arbitration.

Defendants also move to strike the class allegations of the TAC. There are several problems with Defendants' motion.

First, as Plaintiff points out, California Rules of Court (CRC), rule 3.1322 requires that "[a] notice of motion to strike a portion of a pleading must quote in full the portions sought to be stricken except where the motion is to strike an entire paragraph, cause of action, count, or defense." Defendants' notice of motion fails to comply with this requirement. Nor do Defendants specify the portions sought to be stricken in their supporting memorandum of points and authorities.

Second, even if the Court were to excuse this procedural deficiency and interpret Defendants' motion as seeking to strike every reference to Plaintiff seeking to bring claims on behalf of a "class," only "where the invalidity of the class allegations is revealed on the face of the complaint, and/or by matters subject to judicial notice, [may] the class issue . . . be properly disposed of by demurrer or motion to strike." (*Canon U.S.A., Inc. v. Super. Ct.* (1998) 68 Cal.App.4th 1, 5; see also *Shaw v. Los Angeles Unified School Dist.* (2023) 95 Cal.App.5th 740, 760 ["[c]lass allegations may be stricken at the pleading stage only when it is clear from the face of the complaint, the exhibits, and judicially noticed documents" that class claims are invalid].)

Here, in support of their motion to strike, Defendants rely only on the parties' agreed-upon class waiver, which Defendants contend "renders the class action claims in the Complaint fatally defective." However, Plaintiff's complaint mentions nothing about this agreement. Nor is this agreement subject to judicial notice. Therefore, Defendants seek to rely on

		facts extrinsic to the complaint to strike the class allegations of the TAC. This is improper. Nor can Defendants bypass this basic requirement for a motion to strike by combining it with a motion to compel arbitration. Code of Civil Procedure section 1281.2 as well as CRC, rule 3.1330 apply only to agreements "*to arbitrate a controversy*," not to an agreement to waive class claims. (CCP, § 1281.2, emphasis added.) As explained above, the EFAA applies here to prohibit the enforceability of the parties' predispute agreement *to arbitrate* any individual claims in Plaintiff's case. To the extent Defendants also move to enforce the parties' agreement *to waive class claims*, such motion is purely a motion to strike class allegations, and the requirements for a motion to strike class allegations govern this part of Defendants motion. Defendants have failed to demonstrate that they satisfy the requirements for a motion to strike class allegations, which must be based on invalidity of the class allegations revealed on the face of the complaint. Accordingly, the Court also **DENIES** Defendants' motion to strike the class allegations of the TAC. Plaintiff shall give notice.
108	**De La Rosa vs. PLAN888 Inc** **2025-01495101**	**1. Motion to Compel Answers to Special Interrogatories** **2. Motion to Compel Production** Plaintiff Vanessa De La Rosa's (1) Motion to Compel Defendant Plan888 Inc. dba Plan B's Responses to Special Interrogatories, Set One, and Request for Sanctions ; and (2) Motion to Compel Defendant Plan888 Inc. dba Plan B's Responses to Demand for Production of Documents, Set One, and Request for Sanctions are **GRANTED**. (Code Civ. Proc., §§ 2030.290, 2031.300.) Defendant is **ORDERED** to serve verified, non-evasive responses without objection to Plaintiff's 1st set of special interrogatories demands for production within 14 days of notice. To be clear, any response to the demands for production shall include the production of all responsive documents. Sanctions in the total amount of $3,900 (or $1,950 per motion) are **GRANTED** in favor of Plaintiff and against Defendant, payable to Plaintiff's counsel within 30 days of notice. Moving party shall give notice of all of the above.

109	**Martinez vs. Wavepointe, Inc** **2022-01244959**	**Motion for Approval of Class Settlement** The court has reviewed and considered the papers filed in support of plaintiff's motion for approval of a $635,000 PAGA settlement. The court has the following questions and comments: 1. Were all moving papers submitted to the LWDA? Plaintiff must file with the court an actual proof of service identifying the specific documents served on the LWDA, when plaintiff served the documents, and how service was effected. <u>As to the settlement</u>: 2. The parties should provide plaintiff's total anticipated consideration to be received (including for any individual claims). Plaintiff should also submit a copy of his individual settlement agreement (¶ 2.3). 3. Plaintiff should provide the estimated high, low, and average individual awards for aggrieved employees. 4. What is the total estimated number of aggrieved employees and pay periods? It appears there are 461 (ROA 320 ¶ 10) aggrieved employees, but the 27,756 total pay periods in the settlement (¶ 4.1) appears to apply only to Convergint, not Wavepointe. 5. The escalator provision (¶ 8) provides two options. Prior to approval, the parties must determine (1) whether the escalator provision has been triggered, (2) the final gross settlement amount, and (3) the final PAGA Period. 6. The "PAGA Released Parties" provision (¶ 1.29) is overbroad. It includes unrelated, ambiguous and/or unidentified third parties including "present and future direct or indirect," "and affiliates," "and future," "consultants, partners, joint venturers," "agents, trustees, fiduciaries, shareholders, accountants, and agents, legal representatives, insurers, and reinsurers," which should be removed. 7. The "Release by PAGA Settlement Members" (¶ 5.2) is overbroad. Everything following "all claims for PAGA penalties that were alleged, or reasonably could have been alleged, based on the PAGA Period facts stated in the Operative Complaint and the PAGA Notice" should be deleted. 8. Plaintiff's counsel must disclose whether counsel has any fee-splitting arrangement with any other counsel, including the exact percentages, or confirm none exists. 9. Plaintiff must provide his notice(s) to the LWDA notice.

		10. All parties must state, in declarations filed with the court, whether they are aware of any class, representative or other collective action in any other court that asserts claims similar to those asserted in this case. If any such actions are known to exist, the declarations shall state the name and case number of any such case and the procedural status of that case, and describe the impact of the proposed settlement on that case. 11. Plaintiff's counsel seeks attorneys' fees totaling 1/3 of the gross settlement amount. Absent unique circumstances, the court is unlikely to approve an attorneys' fees award that exceeds 30% of the gross settlement amount. Plaintiff's counsel should address in the supplemental filing whether any such unique circumstances exist here. 12. Plaintiff seeks an enhancement award of \$10,000. The court is unlikely to approve an enhancement award in excess of \$5,000 absent unique circumstances. Plaintiff should address in the supplemental filing whether any such unique circumstances exist here. 13. Plaintiff's counsel seeks \$6,800.13 in costs. Plaintiff's counsel should submit invoices supporting the mediation costs. <u>As to the notice</u>: 14. The notice letter should be revised consistent with the above. 15. Does the notice need to be prepared in languages other than English? 16. Rather than identifying the Labor Code section numbers, the notice should describe the violations alleged. 17. Include the release and identify the released parties. 18. Include the financial terms and explain the statutory allocation to the LWDA and to aggrieved employees. 19. Identify the PAGA Period. 20. Inform aggrieved employees they cannot exclude themselves from the settlement. 21. Inform aggrieved employees they will not be retaliated against for cashing their check. 22. Explain the period of time checks will be negotiable and what happens to unclaimed funds. 23. Explain the tax treatment of individual payments to aggrieved employees. 24. Provide contact information for the administrator and counsel and instruct aggrieved employees not to contact the court.

		As to the proposed order: 25. The proposed order and judgment should be revised consistent with the above. 26. It should be styled as an order and judgment approving the settlement. “Order for motion” in the footer is incorrect. 27. Remove the attorney information from the caption page. 28. Identify and attach the settlement, any amendments, and the notice (including any translations) as exhibits. ¶¶ 1, 2. 29. The same issues identified above apply to the release and the released parties. ¶ 6. Include the definitions. 30. The administrator shall be awarded $4,220; the “no more” qualifier should be removed. ¶ 8. 31. Propose a realistic date for a final accounting hearing. The court conducts final accounting hearings on Thursdays at 2:00 p.m. The proposed order and judgment shall state that counsel shall submit a final administrator’s report at least 16 court days before the hearing addressing the status of the settlement administration, including the actual amounts paid to the aggrieved employees and the other amounts fully and finally distributed under the settlement, including any uncashed checks. The hearing on plaintiff’s motion for approval is continued to **December 3, 2026 at 2:00 p.m. in Department CX102** to permit the parties to address and respond to the above issues. A supplemental brief shall be filed at least 16 court days before the hearing and shall address as necessary each of the above points. The parties must provide redlined versions of all revised documents (e.g., revised settlement agreement, revised notice, revised proposed order) and any settlement provisions revised via amendment. Plaintiff is ordered to give notice, including to the LWDA, and to file a proof of service. Plaintiff must also serve the LWDA with any supplemental brief and any amended settlement documents and file a proof of service.

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<td>110</td>
<td>Lewis vs. Salus Healthcare, LLC, a California limited liability company

2021-01213154</td>
<td>Motion for Approval of PAGA Settlement

Plaintiffs Ciara Lewis and Ladonia White’s Motion for Approval of PAGA Settlement is CONTINUED to November 19, 2026 at 2:00 p.m. in Department CX102 in order to give Plaintiffs’ counsel an opportunity to address the issues identified below.

This is a PAGA-only action.

On 7/27/2021, Plaintiff Ciara Lewis filed a PAGA complaint against Defendants (1) Salus Healthcare, LLC; (2) Aspen Healthcare Corporation; (3) Salus Hospice, LLC; and (4) Salus Home Health, alleging a single cause of action for PAGA penalties. (ROA #2.)

On 3/12/2025, the parties filed a joint notice of settlement, stating that the parties had reached a global settlement involving this case and White v. Los Angeles Homecare, LLC, Case No. 30-2024 01436416-CU-OE-CXC. (ROA #154.)

On 7/15/2025, the Court signed a stipulated order to consolidate this case with the White case. (ROA #174.)

The White complaint was filed by Plaintiff Ladonia White on 10/30/2024 and also alleges a single cause of action for PAGA penalties. (ROA #168.) The named defendants are (1) Los Angeles Homecare LLC; (2) Salus Home Health and Hospice, Inc.; (3) Salus Hospice, LLC; (4) Salus Home Health; (5) Salus Homecare; (6) Aspen Healthcare Corporation; (7) Salus Homecare LLC; and (8) Mark Mortensen. (Id.) On 2/24/2025, the Court entered an order, at Plaintiff White’s request, dismissing without prejudice Defendants (i) Salus Home Health; (ii) Salus Homecare; (iii) Salus Hospice, LLC; and (iv) Aspen Healthcare Corporation. (ROA #170.)

On 4/9/2026, Plaintiffs filed the instant Motion for Approval of PAGA Settlement and submitted for the Court’s review the Private Attorneys General Act Settlement Agreement and Release (“Settlement Agreement”) and proposed notice/cover letter to aggrieved employees that will accompany the payment to them. The motion seeks approval of the parties’ proposed settlement of Plaintiffs’ PAGA claims for the non-reversionary gross settlement amount (GSA) of $590,000.

The settlement includes the claims of 1,101 PAGA Aggrieved Employees, defined as “[a]ll current and former hourly-paid or non-exempt employees who worked for any of the Defendants in the State of California during the PAGA Period, including, but not limited to all current and former hourly-paid or non-exempt employees who worked for any of the Defendants within the State of California who earned shift differentials/non-discretionary bonuses/nondiscretionary performance pay which was not used to calculate the correct regular rate of pay used to calculate the overtime rate.” The period from November 25, 2019 through April 30, 2025 is the PAGA Period for the Lewis Action and the period June 3, 2023</td>
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to April 30, 2025 is the PAGA Period for the White Action (collectively the "PAGA Period").

The Court concludes that an attorneys' fee award totaling $177,000 or 30% of the GSA, constituting a 0.60 multiplier of the lodestar amount, is fair, adequate, and reasonable for a settlement of this size, including considering the action's contingent nature and the results achieved.

The Court also concludes that litigation costs should not include overhead or nonrecoverable items such as postage. Therefore, the Court deducts $42.80 from the requested amount and awards $24,275.07.

The Court further concludes that an enhancement or "General Release Fee" of $5,000 per named Plaintiff is fair, adequate, and reasonable for a settlement of this size, given Plaintiffs' broader release compared to the aggrieved employees' release and given Plaintiffs' representative service in this case which is not separately being compensated.

Further, the Court has identified the following issues with the moving papers, which must be addressed by Plaintiffs' counsel before approval can be granted:

1. The copy of the Settlement Agreement submitted at ROA #205, Exhibit 1 is missing the Exhibit A attached thereto. As the proposed order and judgment must reference the declaration to which the *full* Settlement Agreement is attached, counsel should file a declaration that attaches a *full* copy of the Settlement Agreement including the referenced Exhibit A.
2. As noted above, on 2/24/2025, the Court entered an order, at Plaintiff White's request, dismissing Defendants Salus Home Health; Salus Homecare; Salus Hospice, LLC; and Aspen Healthcare Corporation from the White complaint. (ROA #170.) While Defendants Salus Home Health; Salus Hospice, LLC; and Aspen Healthcare Corporation remained defendants in the Lewis complaint (see ROA #2), *Defendant Salus Homecare was dismissed from the White complaint and also not named in the Lewis complaint. Therefore, Salus Homecare is not a defendant in this action, and the Settlement Agreement should not name Salus Homecare as such.*
3. The moving papers fail to provide the Aggrieved Employees' estimated individual recovery under the proposed settlement, including the estimated average, low, and high payments.
4. The Settlement Agreement includes an escalator clause. But this is a motion to have the settlement fully approved, and so a specific GSA must be approved upon the granting of this motion. At this point, the parties should know or be able to determine the number of Aggrieved Employees and qualifying pay periods based on the PAGA Period.
5. In ¶ 8(a) of the Settlement Agreement, the release includes a direct release by the State of California, but the State is not directly participating in this lawsuit. Instead, this provision of the settlement agreement should be amended to read: "Plaintiffs *on*

behalf of the State of California *and* the Aggrieved Employees will be deemed to have knowingly and voluntarily released" (italics added to denote edits).

6. Plaintiffs' counsel must attest as to whether there is a fee-splitting agreement with any other counsel, or confirm there is none.
7. An invoice from the administrator is required to support the $18,000 administrator fee request.
8. The Settlement Agreement should specify that the Court retains continuing jurisdiction pursuant to California Code of Civil Procedure section 664.6.
9. Plaintiffs' counsel must attest to whether there are any concurrent pending cases involving similar claims against Defendant that may be impacted by the settlement and how, or confirm that there is none.

Plaintiffs' counsel must also provide a revised notice/cover letter to aggrieved employees that will accompany the payment to them, with the following revisions:

1. The notice/cover letter should be revised so as to be consistent with the resolution of the issues identified above.
2. The specific awards and disbursements should be revised to reflect the amounts set forth in this order.
3. The pages should be numbered.
4. The notice/cover letter states that the definition of "Aggrieved Employees" is "all current and former hourly-paid or non-exempt employees who worked for any of the Defendants in the State of California during the period *from November 25, 2019 through April 30, 2025 for those covered by the Lewis Action and June 3, 2023 through April 30, 2025 for those covered by the White Action*." This language does not match the definition for "Aggrieved Employees" used in Settlement Agreement at ¶ 3(a)(5). The two should be consistent.

Plaintiffs' counsel must also provide a revised [Proposed] Order Approving PAGA Settlement and Judgment with the following revisions:

1. The proposed order and judgment should be revised so as to be consistent with the resolution of the issues identified above.
2. The specific awards and disbursements should be revised to reflect the amounts set forth in this order.
3. Attorney information must be deleted from the caption page.
4. Again, in the 1st paragraph, "Defendants" should not include Salus Homecare.
5. The proposed order and judgment should identify the Settlement Agreement by its actual name.
6. The proposed order and judgment should reference by name and ROA number the declaration(s) to which the Settlement Agreement and any amendments thereto are attached.
7. In ¶ 21, the words "or object to" should be deleted.
8. The proposed order and judgment should include a paragraph setting a Final Accounting hearing and the deadline for the filing of

		supporting papers in advance of the hearing. Counsel should propose a realistic Final Accounting hearing date, taking into account the deadlines associated with funding the settlement, mailing distributions, allowing the check-cashing deadline to pass, and depositing uncashed check funds pursuant to the terms of the settlement agreement. The Court usually sets these hearings 9-10 months after final approval if the check-cashing deadline is 180 days. The parties must report to the Court the total amount that was actually paid to Aggrieved Employees and all others in accordance with the settlement agreement. All supporting papers must also be filed at least sixteen (16) court days before the Final Accounting hearing date. 9. The proposed order and judgment should state that the Court's continuing jurisdiction is pursuant to California Code of Civil Procedure section 664.6. The Court further refers Plaintiffs' counsel to the "Guidelines for Approval of Class Action Settlements & PAGA Settlements" posted on the Court's website for Department CX102, available at https://voypubapps.occourts.org/complex-civil-calendar. Plaintiffs' counsel must file supplemental papers addressing the Court's concerns no later than sixteen (16) court days prior to the continued hearing date. Counsel must also provide redlined versions of all revised papers and an explanation of how the pending issues were resolved with precise citation to any revisions. A supplemental declaration or brief that simply asserts the issues have been resolved is insufficient and will result in a continuance. If supplemental papers addressing all of the Court's concerns cannot be filed by the pre-hearing deadline, Class Counsel must request a continuance. Failure to do so may result in the issuance of an Order to Show Cause re Monetary Sanctions. Plaintiffs to give notice of this ruling, including to the LWDA, within five (5) court days, and file proof of service.
111	**Ruiz vs. Alloy Die Casting Co.** **2024-01425826**	**Motion for Approval of PAGA Settlement** The court has reviewed and considered the papers filed in support of plaintiff's motion for approval of a $167,420 PAGA settlement. The court has the following questions and comments: 1. It does not appear all moving papers were submitted to the LWDA. Plaintiff must file with the court an actual proof of service identifying the specific documents served on the LWDA, when plaintiff served the documents, and how service was effected. <u>As to the settlement</u>: 2. The parties should provide plaintiff's total anticipated consideration to be received (including for any individual

		claims). Plaintiff should also submit a copy of her individual settlement agreement (¶ 5.1.1). 3. Plaintiff should provide the estimated high, low, and average individual awards for aggrieved employees. 4. The PAGA Penalties allocation is incorrect. ¶¶ 1.24, 3.2.4, 3.2.4.1. Per AB 2288, for claims based on post-June 19, 2024 PAGA notices, 65% of recovered penalties go to the State and 35% go to the aggrieved employees. Additionally, providing for fixed dollar amounts (¶ 3.2.4.1) is inconsistent with the settlement. In other words, the proposed disbursements result in the "Net Settlement Amount" (¶ 1.17), which is the total amount of "PAGA Penalties" (¶1.24). 5. The parties must determine whether the escalator provision (¶ 8) has been triggered. 6. The proposed administrator must provide a written quote. 7. The "Released Parties" provision (¶ 1.27) is overbroad. It includes unrelated, ambiguous and/or unidentified third parties including "attorneys, insurers," and "assigns," which should be removed. 8. Plaintiff's counsel must disclose whether counsel has any fee-splitting arrangement with any other counsel, including the exact percentages, or confirm none exists. 9. All parties must state, in declarations filed with the court, whether they are aware of any class, representative or other collective action in any other court that asserts claims similar to those asserted in this case. If any such actions are known to exist, the declarations shall state the name and case number of any such case and the procedural status of that case, and describe the impact of the proposed settlement on that case. 10. Plaintiff's counsel seeks attorneys' fees totaling 1/3 of the gross settlement amount. Absent unique circumstances, the court is unlikely to approve an attorneys' fees award that exceeds 30% of the gross settlement amount. Plaintiff's counsel should address in the supplemental filing whether any such unique circumstances exist here. 11. Plaintiff's counsel seeks $19,496.45 in costs. Plaintiff's counsel should submit invoices supporting the mediation and expert costs. The costs totaling $1,254.25 for copies, postage, etc. should be removed as the court does not reimburse such costs. <u>As to the notice</u>: 12. The notice letter should be revised consistent with the above.

		13. The notice should describe the violations alleged. 14. The same issue above applies to the definition of Released Parties. 15. Include the financial terms and explain the statutory allocation to the LWDA and to aggrieved employees. 16. Identify the PAGA Period. 17. Inform aggrieved employees they will not be retaliated against for cashing their check. 18. Rather than limited to “unpaid wages,” inform aggrieved employees no individual claims are released. 19. Explain how long checks will be negotiable and what happens to unclaimed funds. 20. Explain the tax treatment of payments to aggrieved employees. 21. Inform aggrieved employees that the court approved the settlement and entered judgment. 22. Provide contact information for the administrator and instruct aggrieved employees not to contact the court. <u>As to the proposed order</u>: 23. The proposed order and judgment should be revised consistent with the above. 24. Remove the attorney information from the caption page. 25. The document footer should reflect it is also a judgment. 26. Identify and attach the settlement, any amendments, and the notice (including any translations) as exhibits. At 1:7-10, 21-22. 27. Include the definitions for the release by Aggrieved Employees, the PAGA Period, and the Released Parties. 28. Propose a realistic date for a “final accounting hearing” with the final report due 16 court days prior. 29. Add a paragraph stating “The court orders the parties and the Settlement Administrator to administer the settlement in accordance with the terms of the Settlement Agreement. The hearing on plaintiff’s motion for approval is continued to **December 17, 2026, at 2:00 p.m. in Department CX102** to permit the parties to address and respond to the above issues. A supplemental brief shall be filed at least 16 court days before the hearing and shall address as necessary each of the above points. The parties must provide redlined versions of all revised documents (e.g., revised settlement agreement,

		revised notice, revised proposed order) and any settlement provisions revised via amendment. Plaintiff is ordered to give notice, including to the LWDA, and to file a proof of service. Plaintiff must also serve the LWDA with any supplemental brief and any amended settlement documents and file a proof of service.
112	**Lundin vs. Goldman** **2022-01290254**	**1. Motion for Summary Judgment and/or Adjudication (ROA 1471)** **2. Motion for Leave to File Amended Cross Complaint (ROA 1491)** **3. Motion to Compel Production (ROA 1481)** **1. Motion for Summary Adjudication** Plaintiffs/Cross-Defendants Leslie Lundin and Douglas T. Beiswenger's motion for summary adjudication is **CONDITIONALLY DENIED AS MOOT** as to issue #1 and **GRANTED** as to issue #2. (Code Civ. Proc. [CCP], § 437, subd. (f)(1).) The motion seeks summary adjudication in Cross-Defendants' favor and against Defendant/Cross-Complainant David Goldman on two causes of action in the currently operative Third Amended Cross-Complaint ("TACC"), i.e., (1) the 1st cause of action for Violation of the Stored Communications Act, 18 U.S.C. §2701, and (2) the 27th cause of action for reformation of the operating agreement of LBG Real Estate Companies, LLC ("LBG REC"). **Issue #1: TACC's 1st Cause of Action** On issue #2, Goldman's opposition represented that "Cross-complainants have voluntarily dismissed the first cause of action in the TACC for violation of the Stored Communications Act, which has mooted the first issue raised by the MSA. Accordingly, this Court need only decide the second issue raised by the MSA: whether the cross-claim for reformation is time barred." (ROA #1624 [Opp.], p. 5.) In reply, Cross-Defendants contend that the are "aware of no such dismissal, none appears on the docket, and Cross-Complainant's proposed Fourth Amended Cross-Complaint filed with their motion for leave to amend still includes that cause of action." (ROA #1709 [Reply], p. 3.) The Court notes that on 8/6/2026, Defendants/Cross-Complainants also filed a reply in support of their motion for leave to file a fourth amended cross-complaint, in which Cross-Complainants represented that after that motion for leave was filed, "Defendants voluntarily dismissed the first cause of action in the Third Amended Cross Complaint for violation of the

		Federal Stored Communications Act without prejudice." (ROA #1805.) However, the Court also notes that no request for dismissal has been filed or entered. Accordingly, on issue #1, the Court **CONDITIONALLY DENIES the motion for summary adjudication AS MOOT** on the condition that Goldman properly files a request for dismissal of the 1st cause of action of the TACC within 3 court days of this ruling. **Issue #2: TACC's 27th Cause of Action** Per Cross-Defendants' notice of motion and motion, issue #2 is framed as "Summary Judgement Is Warranted On The Twenty-Sixth Cause Of Action For Reformation Because The Claim Is Time-Barred." (ROA #1471, Not. of Mot. & Mot., p. 2.) The TACC's 26th cause of action alleges that Cross-Defendants and Goldman formed LBG REC with the intent that their rights and duties as Members and Managers of the LLC would be governed by Delaware law, but due to a scrivener's error, the operating agreement states that it would be governed by California law. (ROA #1421, ¶¶ 508-512.) The parties agree that the applicable statute of limitations for the reformation claim is the three-year limit found in CCP section 338, subdivision (d), which provides that the cause of action "is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake." It is well-settled under California law that "actual knowledge is not necessary," as "courts interpret discovery in this context to mean not when the plaintiff became aware of the specific wrong alleged, but when the plaintiff suspected *or should have suspected* that an injury was caused by wrongdoing. The statute of limitations begins to run when the plaintiff has *information which would put a reasonable person on inquiry*." (*Vera v. REL-BC, LLC* (2021) 66 Cal.App.5th 57, 69, internal quotes omitted, emphasis originally to *Vera*.) A "plaintiff must affirmatively excuse his failure to discover the fraud [or mistake] within three years after it took place, by establishing facts showing that he was not negligent in failing to make the discovery sooner and that he had no actual *or presumptive* knowledge of facts sufficient to put him on inquiry." (*Id.*, internal quotes omitted, italics original to *Vera*.) "It is the well-established rule that in the absence of a confidential relationship between the parties, reasonable prudence requires one to read or to have read to him a documents, which he proposes to execute." (*Daily Telegram Co. of Long Beach v. Long Beach Press Publishing Co.* (1933) 133 Cal.App. 140, 144.) Accordingly, a person may be charged with presumptive knowledge of the contents of a document received even if the person did not actually read it. (See *Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1389-1390, internal citation omitted ["a purchaser who receives and reads a preliminary title report revealing the existence of a deed restriction has actual notice of its existence and is on inquiry notice of the nature of that

		restriction," and "[i]n the absence of a claim that defendants somehow prevented [plaintiffs] from reading the preliminary title reports or misled them about their contents, plaintiffs cannot blame defendants for their own neglect in reading the reports"]; see also *Jefferson v. Cal. Dept. of Youth Authority* (2002) 28 Cal.4th 299, 303 ["The general rule is that when a person with the capacity of reading and understanding an instrument signs it, he is, in the absence of fraud and imposition, bound by its contents, and is estopped from saying that its provisions are contrary to his intentions or understanding"].) "While resolution of the statute of limitations issue is normally a question of fact, where the uncontradicted facts established through discovery are susceptible of only one legitimate inference, summary judgment is proper." (*Jolly v. Eli Lilly & Co.* (1988) 44 Cal.3d 1103, 1112.) Here, it is undisputed that Goldman received and signed the LBG REC operating agreement on 9/5/2013, yet Goldman did not bring his cross-claim for reformation until 2/20/2026 when he submitted the TACC in a stipulation for leave to file the TACC. (ROA #1618 [Resp. to SSUMF], ¶¶ 1, 15.) Yet Goldman has not put forth any evidence affirmatively excusing his failure to discover the alleged mistake. Goldman has not presented any evidence to explain why he was not negligent either in failing to read the agreement before signing it or in reading the document but nevertheless failing to discover any of the mistakes that he now describes as "obvious" and "clear" in his opposition. (See, e.g., Opp. at p. 7 [describing as "obvious" and "clear" mistakes the statement that "LBG REC was formed under California's LLC Act by filing documents with California's Secretary of State" when "[i]n fact, LBG REC was formed in Delaware by filing articles of organization with Delaware's Secretary of State"].) Goldman's own declaration submitted in opposition to the motion attests: > At some point after Ms. Lundin and Mr. Beiswenger sued me, I reviewed the operating agreement for LBG REC again and I noticed ***obvious*** errors that I never noticed before. I understood that LBG REC had been formed in Delaware, which is where Ms. Lundin, Mr. Beiswenger and I formed all LLCs through which we did business – except for LBG Claremont, which is a California LLC. The cover page for the Operating Agreement correctly noted that LBG REC was a Delaware LLC, but inside, the title above the recitals referred to LBG Realty and there are references throughout California law – but no references to Delaware law – and there is a provision that states the Operating Agreement is governed by California law. It was always my understanding that we formed the Delaware LLCs to take advantage of Delaware law and it was my understanding that all of the Delaware LLCs were governed by Delaware law. All of the other Delaware LLCs formed for LBG related transactions have express provisions in their operating agreements stating that they are governed by Delaware law.

		(ROA #1616 [Goldman Decl.], ¶ 15.) If the references to California law are so "obvious," then why didn't Goldman notice it when he initially received and signed the agreement? Goldman has not presented any evidence to explain this. Certainly, not reading the agreement is no excuse under the law. Moreover, even if the challenged provision on governing law was not "obvious" because it appears at ¶ 14.7 toward the end of the agreement (see ROA #2, Compl. at Exh. A], the statement that LBG REC was formed under California law *was* "obvious," as Goldman himself admits, since it appears in the recitals immediately under the title at the start of the document. This provision, which also contains a mistake explicitly about *California* law, should have put Goldman on inquiry notice that the agreement may have used an incorrect *California* form as the starting point for drafting and/or contains other incorrect references to *California* law—including the challenged provision on *California* being the governing law. At most, Goldman has produced evidence explaining why the challenged mistake was made in the first place (i.e., the use of an incorrect California form as the starting point). But that evidence does not address why Goldman was not negligent in failing to make the discovery sooner or why he had no presumptive knowledge of facts sufficient to put him on inquiry even though he received and signed the agreement. Therefore, there is only one legitimate inference to be drawn from the undisputed material facts presented by the parties on this motion—i.e., the applicable statute of limitations on Goldman's reformation claim expired in 2016, three years after he received and signed the agreement. Goldman contends that under the relation-back doctrine codified in CCP sections 473(a) and 474, his cross-claim for reformation relates back to the original complaint because a claim to reform a contract arises from the same transaction as a breach of contract cause of action concerning the same contract. (Opp. at pp. 11-12.) That may be so, but this relation back does not save his claim from being time-barred. This is because the original complaint was filed in November 2022—i.e., after the expiration of the applicable statute of limitations in 2016. As Goldman himself acknowledges (*id.* at p. 11), only "when the original complaint was *filed before the statute of limitations on the cross-complaint had elapsed*" does the relation-back doctrine suspend or toll the statute of limitations on the cross-complaint. (*Sidney v. Super. Ct.* (1988) 198 Cal.App.3d 710, 714, internal quotes omitted, emphasis added, citing *Liberty Mutual Insurance Co. v. Fales* (1973) 8 Cal.3d 712, 715, fn. 4.) "The courts have fashioned a rule that a statute of limitations is suspended or tolled as to a defendant's *then unbarred* cause of action against the plaintiff against the plaintiff arising out of the same transaction by the filing of the plaintiff's complaint." (*Id.*, original emphasis omitted, italics added.) When the statute of limitations has already run, as it did here in 2016, there is no statute of limitations to toll or suspend.

		Accordingly, on issue #2, the Court **GRANTS** summary adjudication as to the 27th cause of action in the TACC in favor of Cross-Defendants and against Goldman. **2. Motion for Leave to File Fourth Amended Cross-Complaint** Defendants/Cross-Complainants David Goldman, Melanie Goldman and Elevate Retail Group's motion for leave to file a fourth amended cross-complaint ("4ACC") is **GRANTED**. On 7/31/2026, Plaintiffs/Cross-Defendants Leslie Lundin and Douglas Beiswenger filed an "opposition," stating that "based on the informal tentative ruling of the Court at the 7/21/2026, hearing on the ex parte application of [the Goldman Defendants] to advance the hearing on [this motion], including the Court's comments that should the parties need additional time to prepare for trial[,] the Court would be inclined to continue the trial, Plaintiffs will not oppose the Motion." (ROA #1711.) Plaintiffs also stated that "Counsel for Plaintiffs and Defendants have communicated and will be discussing a revised trial schedule early next week." (*Id.*) The Court therefore construes Cross-Defendants' filing as indicating a non-opposition to the motion. As noted above in connection with the MSA ruling, on 8/6/2026, Defendants/Cross-Complainants filed a reply noting that after this motion was filed, they had "voluntarily dismissed the first cause of action in the Third Amended Cross-Complaint for violation of the Federal Stored Communications Act without prejudice." (ROA #1805.) Although no such request for dismissal has yet been filed by Defendants/Cross-Complainants, "Defendants request leave to file the Fourth Amended Cross Complaint as proposed, but without the first cause of action." (*Id.*) Accordingly, the Court **GRANTS** the motion for leave to file the 4ACC without the 1st cause of action. Defendants/Cross-Complainants are **ORDERED** to separately file the proposed 4ACC without the 1st cause of action with the Court within 5 court days and serve all parties within 30 days. The 4ACC should be filed and served after proper dismissal of the 1st cause of action from the TACC as ordered in the above ruling on the MSA. **3. Motion to Compel Production of Information Withheld on Claim of Privilege** Defendants David Goldman, Melanie Goldman and Elevate Retail Group's Motion to Compel Production of Information Withheld on Claim of Privilege is **DENIED WITHOUT PREJUDICE** to Defendants bringing the same motion again after the conclusion of the Phase One trial. On 7/31/2026, Plaintiffs filed a "Notice-Only" "Opposition," informing the Court that at the 7/21/2026 ex parte hearing, the Goldman Defendants' counsel had represented to Plaintiffs' counsel that they will withdraw the motion without prejudice. But "[t]o the extent Defendants have not filed a

		formal notice of withdrawal in advance of the hearing, Plaintiffs would request the hearing on the motion be reset so an opposition brief may be filed" on a later date. (ROA #1715.) On 8/6/2026, Defendants filed a reply reminding the Court that at the 7/21/2026 ex parte hearing, the Court "provided the parties with its view that the Court could decide the cross claims challenging Plaintiffs' self-dealing transactions with the Medford LLCs through which Plaintiffs indemnified their personal attorneys' fees without considering the allegedly privileged amounts of the payments." (ROA #1803.) Defendants then stated that they "agree that the issues presented in Phase One can be decided without consideration of the amounts and therefore agreed that the Court may defer ruling on the MTC until a determination of Phase One issues arising from the disputed transactions without prejudice to Defendants ability to raise the issue at that time." (*Id.*) So as to avoid continuing the motion without a date certain, the Court **DENIES the motion without prejudice** to Defendants bringing the same motion again after conclusion of the Phase One trial. Cross-Defendants shall give notice of all of the above.